# 1. THE TERTIARY SECTOR TODAY

## 1.1. Tertiarisation of the economy

The **tertiary sector** includes activities that offer **services**, such as transport, finance, education, healthcare, information and leisure. During the last **50 years**, industrialised societies have shifted many workers from farming and manufacturing to services. This happened because technology increased productivity, and people began to demand more services. The growth of services is called the **tertiarisation of the economy**, and in many countries, it is now the dominant sector.

Its importance varies depending on a country's level of development. In **developed countries**, services employ over **60%** of workers, and more than **80%** in large cities. Services are of high quality and improve people's well-being.
In **developing countries**, fewer than **30%** work in services, often in informal jobs or weak public services. Healthcare and education access is limited.

- **Gross domestic product (GDP)** measures the total value of goods and services produced.
- **The Human Development Index (HDI)** measures life expectancy, education and standard of living.

## 1.2. Public and private activities

Service activities can be **public** or **private**.

**Public services** are organised by the government to guarantee basic needs: civil service, defence, justice, fire services, education and healthcare. These form part of the **welfare state**, which tries to ensure equal access to essential services.

**Private services** are created by companies aiming for profit, such as private media. Some private services exist alongside public ones, but governments regulate them.

**Social welfare** includes all factors that improve people's quality of life, such as healthcare, education and pensions.

## 1.3. Financialisation of the economy

The **financial sector** (banks, credit institutions) is essential because it stores money safely and provides **loans** for investment. Although it does not employ many people, the economy depends on it. Its value has grown so much that we speak of a **financialised economy**.

Financial activities expanded due to globalisation and the reduction of regulations. This increased instability and caused many crises, including the **2007 global financial crisis**, the worst since 1929.

# 2. HEALTHCARE AND EDUCATION

## 2.1. Healthcare

Healthcare includes all services that prevent and treat **illnesses**, making it a fundamental activity. It can be public or private, but public systems are very important because hospitals and medical staff are expensive.

There are strong inequalities between developed and developing countries. Rich countries invest more, leading to longer life expectancy and lower infant mortality. Poorer countries have fewer facilities and limited access to treatments.

### 2.2. Education

Education provides people with the knowledge needed to find jobs and participate in society. It is also essential for **scientific progress**, research and innovation.

It can be public or private, but governments define key rules such as compulsory education age, curriculum and subjects. Public education aims to offer **equal opportunities** regardless of income.

The success of an education system depends on investment in teachers, materials and scholarships, and on results such as literacy and dropout rates. Differences between developed and developing countries are very significant.

## 3. TRANSPORT AND COMMUNICATIONS

### 3.1. Transport

Transport has improved greatly in the last century, becoming faster and cheaper. This is the **Transport Revolution**.

- **River and sea transport**: good for heavy goods; passenger travel limited to ferries and cruises.
- **Road transport**: expanded with the use of cars; ideal for short-distance travel and light goods.
- **Air transport**: fastest method for long distances, used mostly by tourists and business travellers.
- **Rail transport**: important since the 19th century; today used for goods and passengers, especially on high-speed routes.

### 3.2. Communications

Communications include written, audio and audiovisual media. They can be interpersonal (phone, email) or mass media (TV, radio, press).

**Telecommunications** grew rapidly with satellites, fibre optics and digital systems. This **Communications Revolution** led to New Information and Communications Technologies **NICTs**, which allow faster and easier global communication.

## 4. COMMERCE

### 4.1. General characteristics

Commerce covers all activities that connect **producers and consumers** through buying and selling. Modern commerce:

- follows supply and demand,
- is concentrated in cities,
- depends on transport and communication,
- is influenced by multinational companies,
- grows strongly in developed countries due to high consumption,
- includes both large-scale trade and informal street vending in developing countries,
- uses marketing to encourage purchases,
- includes **e-commerce**, which allows buying online.

**Multinationals**

These companies operate in several countries, with headquarters at home and subsidiaries abroad.

### 4.2. Types of markets

- **Physical markets**: buyers and sellers meet in person.
- **Non-physical markets**: online or distant transactions.
- **Intermediate markets**: part of the goods is physically present.

### 4.3. Commerce and its geographical effect

Commerce transforms urban outskirts, where industrial parks, logistics centres and large retail areas appear. These are connected to roads, railways and airports to speed up distribution.

### 4.4. Domestic trade

Domestic trade occurs within a country and includes:

- **Wholesale trade**: large quantities sold to companies or traders.
- **Retail trade**: goods sold directly to consumers.

Retail forms include traditional shops, supermarkets, shopping centres and street markets.

### 4.5. Foreign trade

Foreign trade includes **exports** (sold abroad) and **imports** (bought from abroad). The difference is the **balance of trade**:

- **Positive**: exports > imports.
- **Negative**: imports > exports.

Trade is unequal: developed countries export technology and import cheap goods or raw materials. Trade blocs help regulate exchanges, such as the World Trade Organization **WTO**, North American Free Trade Agreement **NAFTA** and the European Union **EU**, the world's largest trading bloc.

## 5. TOURISM

### 5.1. Tourism industry

Tourism is the movement of people for **leisure** and has grown thanks to transport improvements. It requires infrastructure like hotels, airports and restaurants. Tourism is highly **seasonal**, with more activity during holidays.

### 5.2. Effects of tourism

**Positive effects:**

- Source of income
- Improves balance of payments
- Creates jobs
- Encourages cultural exchange

**Negative effects:**

- Damages natural landscapes
- Causes overcrowding
- In developing countries, profits often go to foreign companies

Tourism is concentrated in regions with temperate climates, cultural heritage or natural beauty. A small group of countries (USA, Spain, Italy, France, UK, Germany, Austria) receive half of global tourism revenue.

**Types of tourism**

Sun and sea, rural, cultural, religious, leisure, health, sport and adventure, and business.